

Kestrel Grid Energy Ltd

Annual Operations Report FY2025

For the financial year 1 April 2024 to 31 March 2025 · Published 15 April 2025

Letter from the Chief Executive

Dear shareholders,

FY2025 was a year of resilience for Kestrel. Our plants generated 6,700 GWh of electricity despite the most severe winter storm on the southern coast in two decades, which damaged export cables at our Saltmarsh offshore wind farm in November.

I am proud that we cut outage hours by 18% compared with FY2024, the clearest sign yet that our reliability programme is working. Safety remains our first priority, and lost-time injuries fell to 15, the lowest in the company's history.

During the year we took the difficult decision to mothball the Brackenfield coal plant, a step that will substantially reduce our emissions in the years ahead. We also completed a major turbine upgrade at Tern Ridge and approved our first large-scale battery project at Pine Hollow.

None of this would be possible without the dedication of our over 3,500 colleagues across four regions. Thank you for your continued support.

Daniel Moreau
Chief Executive Officer

1. About Kestrel

Kestrel Grid Energy Ltd generates and supplies electricity to homes and businesses across four operating regions. Each region is led by a regional director who is accountable for plant operations, safety and customer service in that region.

Region	Regional headquarters	Regional director	Plants
North	Aldermoor	Meera Kulkarni	Tern Ridge, Pine Hollow
North-East	Brackwater	Tomas Varga	Brackenfield
Coastal	Port Selwyn	Farhan Siddiqui	Saltmarsh, Harrow Point
Central	Linford	Helen Okafor	Hollow Creek

Financial year and reporting periods

Kestrel's financial year runs from 1 April to 31 March. FY2025 covers 1 April 2024 to 31 March 2025. All quarters in this report are fiscal quarters: Q1 is April to June, Q2 is July to September, Q3 is October to December and Q4 is January to March.

2. Leadership

Name	Position
Daniel Moreau	Chief Executive Officer
Sunita Mehra	Chief Financial Officer
Ruth Adeyemi	Chief Operating Officer
Dr. Anika Rao	Chief Technology Officer

The executive team reports to a board of nine directors, six of whom are independent. The board met eleven times during FY2025.

3. Generation Portfolio

Kestrel operates six generating plants using five technologies. The table below shows the portfolio as at 31 December 2024.

Plant	Region	Technology	Installed capacity (MW)	Commissioned	Plant manager
Tern Ridge	North	Gas (combined cycle)	420	2011	Jonas Lindqvist
Saltmarsh	Coastal	Offshore wind	310	2019	Anil Rao
Brackenfield*	North-East	Coal	540	1998	Rita Coelho
Hollow Creek	Central	Hydro	180	1987	Emeka Obi
Pine Hollow	North	Solar PV	150	2022	Grace Liu
Harrow Point	Coastal	Gas (open cycle)	260	2015	Victor Santos

* Brackenfield has been mothballed since 15 November 2024 and is excluded from available capacity.

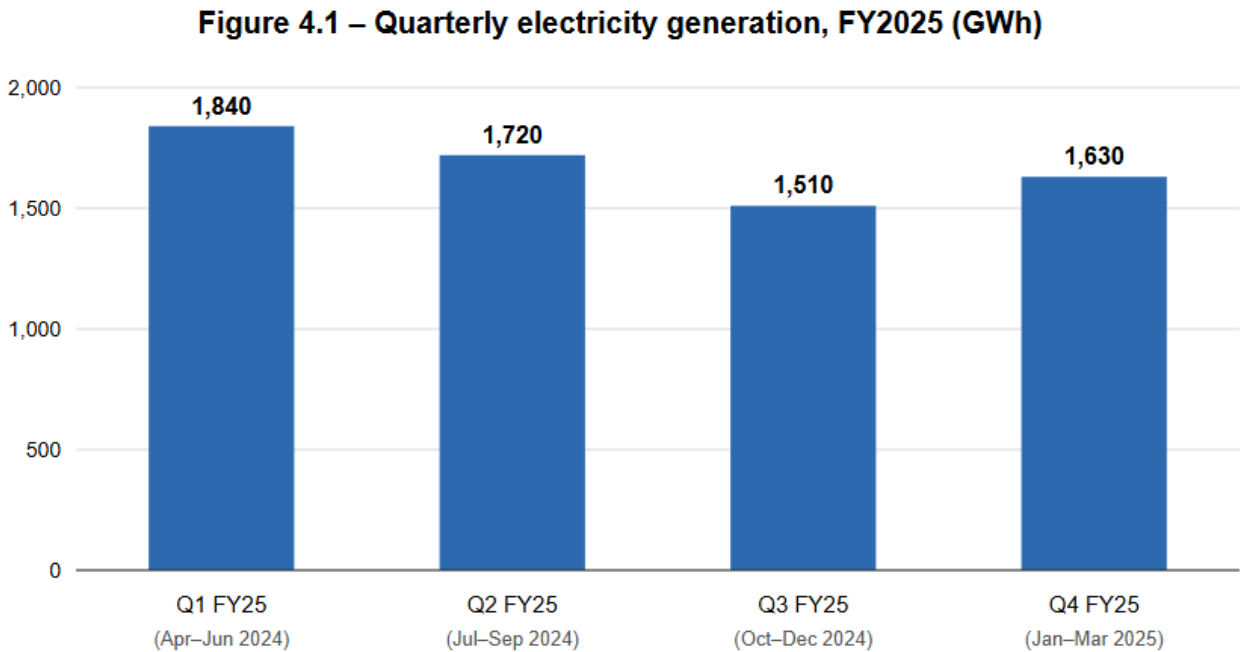
Installed capacity totalled 1,860 MW at 31 December 2024, of which 1,320 MW was available for dispatch.

Tern Ridge, our largest gas plant, entered service in 2011 with a capacity of 380 MW and was uprated to 420 MW in 2017. Hollow Creek is the oldest plant in the fleet and is the only one able to start from a fully de-energised grid without external power.

Pine Hollow is our newest plant. Its output peaks around midday, which does not match the evening peak in customer demand; the battery project described in Section 7 is intended to address this.

4. Generation Performance

Total generation in FY2025 was 6,700 GWh, compared with 7,050 GWh in FY2024. The decline reflects the mothballing of Brackenfield in November and the storm damage at Saltmarsh. Quarterly generation is shown in Figure 4.1.

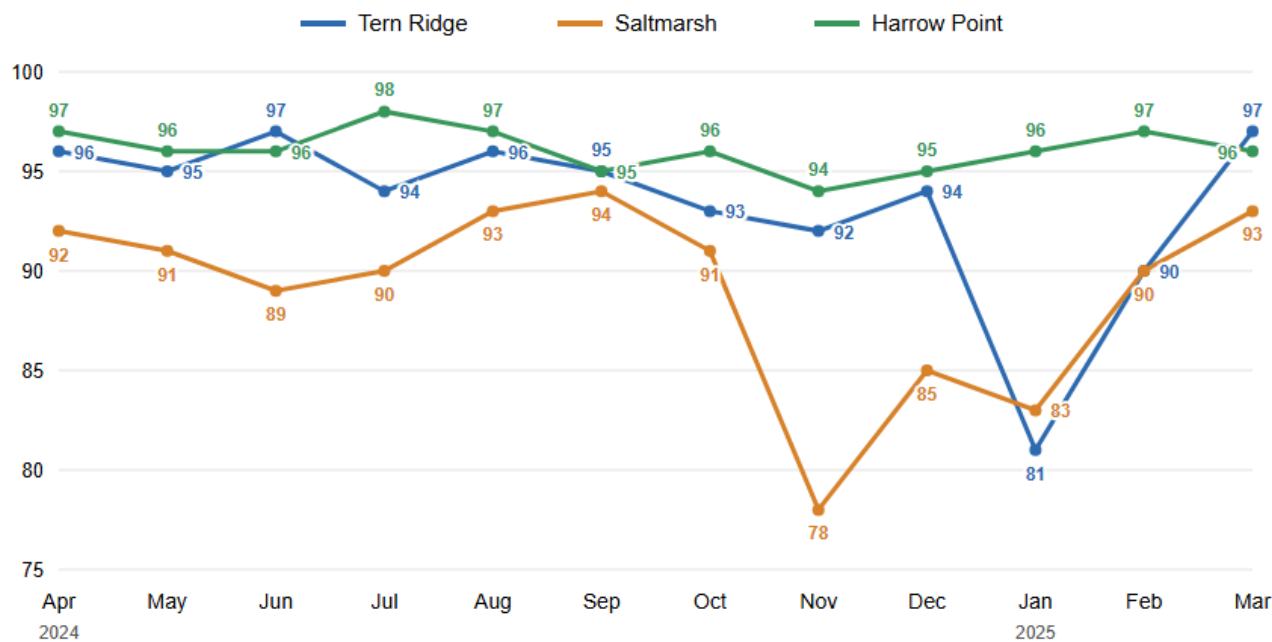


Generation was highest in the first quarter, when Brackenfield was still operating and demand for air conditioning was strong. The third quarter was the weakest, reflecting both the Brackenfield closure and the Saltmarsh storm.

4. Generation Performance (continued)

Availability measures the share of hours in which a plant was able to generate, whether or not it was dispatched. Figure 4.2 shows monthly availability for three of our plants.

Figure 4.2 – Monthly plant availability, FY2025 (%)



Harrow Point maintained consistently high availability throughout the year. Saltmarsh was the most affected plant following the November storm, and its availability recovered gradually as temporary repairs progressed. Tern Ridge's availability dipped during the fourth quarter; see Section 10 for details.

5. Operations and Reliability

Outage hours are the total hours during which generating units were unavailable, summed across all plants. Planned outages are scheduled maintenance; unplanned outages are breakdowns, weather damage and other unexpected events.

Table 5.1 Outage hours	FY2024	FY2025
Planned maintenance	4,300	4,088
Unplanned outages	5,100	4,182
Total	9,400	8,270

Note to the Chief Executive's letter: the 18% reduction quoted refers to unplanned outage hours only. Total outage hours, including planned maintenance, fell by 12%.

Saltmarsh storm

On 19 November 2024 a severe storm struck the southern coast. Anil Rao, plant manager at Saltmarsh, said:

The storm damaged two of our four export cables. We ran at reduced output until temporary repairs were completed in March, and the permanent cable replacement is now under way.

No injuries resulted from the storm. The temporary repairs cost ₹18 crore and were charged to operating expenses.

6. Safety

Lost-time injuries totalled 15 in FY2025, compared with 17 in FY2024. Near-miss reporting increased as a result of the new reporting app introduced in June 2024, which we regard as a positive sign of reporting culture rather than a deterioration in safety.

Table 6.1 Region	Lost-time injuries	Near misses reported	Contractor incidents
North	3	41	1
North-East	6	38	2
Coastal	4	52	3
Central	2	19	0

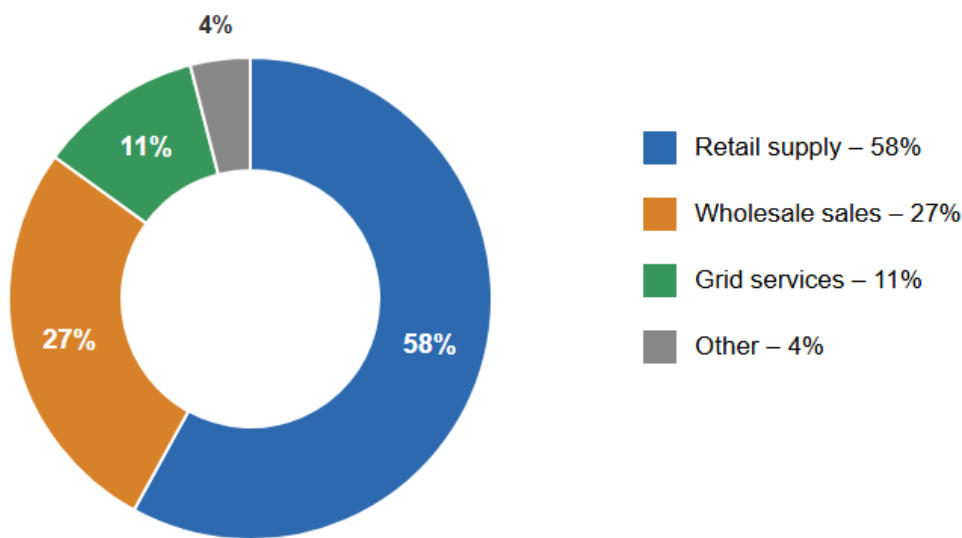
All lost-time injuries are investigated by a team independent of the plant concerned, and findings are shared across all regions within 30 days.

Contractor safety performance is reviewed quarterly by the Chief Operating Officer. Two contractors were suspended from Kestrel sites during the year pending safety retraining.

7. Financial Performance

Revenue for FY2025 was ₹14,200 crore, compared with ₹13,150 crore in FY2024. EBITDA was ₹2,980 crore. The breakdown of revenue by segment is shown in Figure 7.1.

Figure 7.1 – FY2025 revenue by segment (% of total revenue)



Grid services include frequency response and reserve capacity provided to the system operator, mainly from Hollow Creek and Harrow Point.

Capital expenditure

Table 7.2 Project	Region	Approved budget (₹ crore)	Spent in FY2025 (₹ crore)	Status at 31 December 2024
Tern Ridge turbine upgrade	North	380	372	In progress
Saltmarsh export cable replacement	Coastal	210	95	In progress
Pine Hollow battery storage (60 MWh)	North	240	30	Approved December 2024
Grid control system modernisation	All	150	140	Completed

Sunita Mehra, Chief Financial Officer, commented that capital expenditure for the year was ₹637 crore (about USD 76 million), funded entirely from operating cash flow.

8. Customers and Tariffs

Customer class	Customers at 31 March 2025
Residential	2,400,000
Commercial	310,000
Industrial	4,200

Residential customers are billed on a slab system: the rate per kWh depends on the household's total monthly consumption, and the whole month's consumption is charged at the rate for the slab it falls into.

Table 8.1 Slab	Monthly consumption	FY2025 rate (₹ per kWh)
Slab 1	0 to 100 kWh	3.10
Slab 2	101 to 300 kWh	4.85
Slab 3	301 to 500 kWh	6.40
Slab 4	Above 500 kWh	7.90

Commercial customers pay a flat rate of ₹8.25 per kWh. Industrial tariffs are set in individual contracts.

Customer service performance remained strong. Call-centre availability reached 99.2% and 91% of calls were answered within 60 seconds.

9. Workforce and Environment

Table 9.1 Region	Employees at 31 March 2025
North	1,050
North-East	1,120
Coastal	760
Central	490

In addition to the employees above, Kestrel engaged 180 contract staff at 31 March 2025. Employee attrition was 7.8%. Brackenfield employees affected by the mothballing were offered redeployment within the North-East region.

The Kestrel Academy has a training capacity of 1,200 places a year and delivered 38,000 training hours in FY2025.

Emissions

Scope 1 emissions were 3.9 million tonnes of CO₂, an intensity of 0.58 tonnes per MWh generated (FY2024: 0.66). Brackenfield accounted for 61% of FY2025 emissions despite operating for only seven and a half months of the year, and its mothballing is expected to reduce emissions intensity further in FY2026.

10. Fourth Quarter Operational Update (January to March 2025)

Tern Ridge

Tern Ridge ran at reduced availability in January while the turbine upgrade was carried out. The upgrade was completed on 18 February 2025, and Tern Ridge now operates at 465 MW.

Saltmarsh

Temporary repairs to the export cables were completed in March 2025, restoring full export capability. The permanent cable replacement continues and is expected to finish in FY2026.

Pine Hollow battery

On 20 March 2025 the board approved an increase in the size of the Pine Hollow battery from 60 MWh to 80 MWh, raising the project budget to ₹310 crore. Commissioning is expected in the third quarter of FY2026. Dr. Anika Rao said the battery would "let us shift midday solar into the evening peak, when our customers need it most."

Maintenance contract

In January 2025 Kestrel signed a five-year maintenance contract with Nordvik Turbine Services. The contract covers all operating plants except Saltmarsh, which remains under its original warranty agreement with the turbine manufacturer until 2027.

11. Regulatory Update

Dated 2 March 2025

On 28 February 2025 the State Electricity Regulatory Commission issued its tariff order for the next financial year. The revised residential and commercial rates take effect on 1 April 2025.

Slab	Rate from 1 April 2025 (₹ per kWh)
Slab 2	5.20
Slab 3	6.75

The rates for Slab 1 and Slab 4 are unchanged. The commercial flat rate rises to ₹8.60 per kWh. Slab consumption thresholds are unchanged.

The Commission also approved Kestrel's request to recover the Saltmarsh temporary repair costs through tariffs over three years.

12. Glossary

Availability. The percentage of hours in a period during which a plant was able to generate, regardless of whether it was dispatched.

Installed capacity. The maximum output a plant is designed to produce, in megawatts (MW).

Available capacity. Installed capacity excluding plants that are mothballed or permanently unavailable.

Crore. Ten million. ₹1 crore = ₹10,000,000.

GWh. Gigawatt-hour, one million kilowatt-hours.

Lost-time injury. A work-related injury that prevents the person from working on their next scheduled shift.

Near miss. An event that could have caused injury or damage but did not.

Erratum

Issued 28 April 2025

Table 6.1: the number of lost-time injuries in the Coastal region should read 7, not 4. The difference is due to three incidents at Harrow Point in March 2025 that were reported after the table was finalised.